Estate agents say the new tax is already affecting the housing market

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Mansion tax will cost almost £400 million before a penny is collected

FoI request shows scale of cost to the Treasury and the property market

NEW

Andrew Ellson, Consumer Affairs Correspondent

Monday May 04 2026, 8.10pm, The Times

Labour's mansion tax is expected to cost the Treasury almost £400 million before a penny is raised.

Treasury officials estimate that stamp duty and inheritance tax receipts will slump by £230 million over the next three years as property values near the thresholds for the new tax plummet.

- I'm planning to sell my £2m house — will I need to pay mansion tax?

In last year's budget the chancellor, Rachel Reeves, announced what is officially known as the high-value council tax surcharge, amid a clamour from backbench Labour MPs to generate more cash from the wealthiest.

Under the government's plans, from April 2028 homeowners will pay a flat annual surcharge on top of their council tax bill if their property is valued at £2 million or more. The charge is set in four bands: £2,500 a year for homes worth between £2 million and £2.5 million; £3,500 for those from £2.5 million to £3.5 million; £5,000 for properties valued between £3.5 million and £5 million; and £7,500 for homes worth more than £5 million.

Estate agents say the tax is already beginning to distort the property market. They report falling transactions above the £2 million threshold, suggesting buyers have been put off by the prospect of paying the annual levy, and falling prices as vendors try to attract buyers.

by 2030/31.

Rachel Reeves announced the policy in last year's budget

HOUSE OF COMMONS/AFP/GETTY IMAGES

However, these figures are only estimates and some estate agents believe the real impact of the tax will be much greater.

The FoI request shows the Treasury expects the tax to result in only 90 fewer £2 million-plus sales each year on average over the next three years. Last year, there were nearly 6,000 transactions in this category, meaning the Treasury believes the market will lose only 1.5 per cent of sales.

Aneisha Beveridge, head of research at the estate agent Hamptons, said: "Losing only 1.5 per cent of sales feels like quite a small figure. Our analysis suggests the mansion tax is already shaping behaviour for both buyers and sellers, particularly around the £2 million entry point.

"In recent months, buyers targeting homes priced close to the threshold have increasingly structured offers to ensure the final sale price remains below £2 million. Sellers are adapting too. In the two months following the budget, the number of homes coming to market priced between £1.8 and £2 million rose by 6 per cent year on year, while listings between £2 and £2.2 million fell by 7 per cent."

The FoI request also reveals that the Treasury conducted no analysis of how the new tax might affect VAT or corporation tax receipts, suggesting the full scale of lost revenue could be even greater.

- [Beware the unintended consequences of mansion tax]

Estate agencies, the construction trade, the removals industry, the home furnishing sector and other businesses linked to the high-end property market are all likely to suffer reduced sales and profits because of the tax, resulting in lower corporation tax and VAT receipts.

Experts in the building trade, for example, are fearful that the estimated 200,000 people who own homes worth between £1.5 million and £2 million will now be less likely to complete renovations, extensions or home improvements, fearing any work might push their homes into the qualifying bracket.

Despite the implementation costs, the Treasury expects the policy will ultimately bear fruit by raising nearly £1.4 billion in the first three years of operation.

After costs and the negative impact on other tax receipts, the Treasury estimates the tax will generate a net £930 million by 2031. In the scheme of the public finances, this is a relatively modest amount. The latest official figures show the government spent £1.2 trillion last year, meaning the tax will not even fund 0.1 per cent of public spending.

This has raised concerns in the property industry that once the tax has been introduced future governments will expand its scope to generate more cash. Beveridge said: “When governments bring in thresholds like this, generally they tend to come down. So we could see future governments tweak the £2 million level just to pull in more tax.”

In the FoI, the Treasury declined to reveal how many homeowners it expected to appeal their valuation, citing the need to maintain a “safe space” for policy development. However, it did say it expected the tax ultimately to be levied against 156,000 homeowners, the typical qualifying household paying nearly £3,000 a year, or £250 a month.

The Treasury said: “This tax is expected to raise around £1.4 billion to help fund public services, including cutting the cost of living, by addressing the unfairness of a Band D home in Blackpool paying nearly £300 more in council tax than a £10 million Mayfair mansion. It is normal for there to be

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Sophia Cook

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M **Mr James Howard**

1 HOUR AGO

You couldn't make it up - another wonderous decision from this bunch of ideologically driven economic illiterates.

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B **Bob Hume**

M Sheridan

19 MINUTES AGO

Silly article in my opinion.
Since all these so called "mansions" should already be in Band "H" and the Valuation Office Agency (VOA) already exists.
Who thinks for a moment that **154,470** properties in Band H in England will cost £150m to assess those properties?
As for the other speculation who produ...
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Peter Hall

1 HOUR AGO

Kier Starmer's jokers party. So useless it's a farce.

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Malcolm McNaught

1 HOUR AGO

Just like independent schools VAT then?

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Bob Hume

1 HOUR AGO

again, the politics of envy. levelling down to close the attainment gap?

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Manish Shah

1 HOUR AGO

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S

S Pattinson

1 HOUR AGO

Labour is to bring every one down to the same lower level Problem is they haven't figured out who will be left to pay any tax for the increased number of people on benefits

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L

Lee Kenton

1 HOUR AGO

Literally no one could have predicted this!!!

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R

Richard Evans

1 HOUR AGO

What you can predict is that these charges will move up aggressively over time to be able to take more money from London and South East (who are already the only net contributors on a regional basis) and give to the areas with high levels of economic inactivity

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J

Jameson Selby

18 MINUTES AGO

All you had to do was pay attention to what has been happeningg in Wales for the past 26 years. Not like it's been a secret.

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K

Kevin Pedlar

1 HOUR AGO

J

J Mercer

1 HOUR AGO

This government truly are masters of the unintended consequence.

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A

A Wilson

1 HOUR AGO

You have to hope it's unintended and not a deliberate 'punishment tax' on those who have succeeded in life to attract votes from the envious.

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D

David Allan

1 HOUR AGO

It pains me to say, this is the bleeding obvious, what is wrong with R Reeves and her advisors? Let's just trash the economy by making employing people more expensive, then let's just take money of the rich house owners in the most expensive way possible. Are they like the snp, thinking that a gr...

See more

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M

M Copping

1 HOUR AGO

As if proof were needed. A clueless bunch of ...

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K

K Harvey

A **Andrew Caird**

1 HOUR AGO

If only our policos understood this!

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C **Charlie Jenkinson**

1 HOUR AGO

This is political, people will do all they can to avoid this tax distortion. It's the same with the £100,000 tax, personal allowance reductions and childcare reductions. The tax system has too many cliff edges and should be simplified. Labour think they are gaining votes but are really alienating ...**See more**

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S **Stephen Dunckley**

1 HOUR AGO

Good call, Rachel....

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A **Alexander Still**

1 HOUR AGO

For 'unintended consequences' please read 'stupid idea'.

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N **Nic HOMAN**

1 HOUR AGO

Big surprise my house is only worth £1999999.99

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H **Hugh Currie**

Reply • Recommend (7) • Share

G Carr

1 HOUR AGO

Rachel Reeves, Minister of Envy. *(Edited)*

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M underwood

30 MINUTES AGO

Don't bring religion into it.

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D Nash

1 HOUR AGO

Laffer curve is alive and well and totally not understood by our political leaders.

Reply • Recommend (5) • Share

M Norris

1 HOUR AGO

Another well thought out policy.

Reply • Recommend (5) • Share

Craig Storey

1 HOUR AGO

as usual with this government...unintended consequences...so funny

Reply • Recommend (5) • Share

Andrew Hebron

1 HOUR AGO

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J

john wall

51 MINUTES AGO

And mark my words, it will.get worse once Angie baby and Co take control!

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B

B T Hunt

1 HOUR AGO

Policies driven by spite and envy rather than rational economics are what happens when a customer complaints clerk manages the economy

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S

Sinead Quinn

1 HOUR AGO

Of course there will be implementation costs - surprised this is 'news'

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G

Geoffrey Hamilton

1 HOUR AGO

And the majority of the cost falls on the unlucky person to be a current owner. The price will adjust downward and all future prices will be based off the new lower base. 5-7% lower in a one-off hit.

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A

A Woolmer

48 MINUTES AGO

Reply • Recommend (3) • Share

G

Graham Tubbs

1 HOUR AGO

Now tell us what the wealth tax will cost to implement. It's the politics of envy and helps nobody

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M

Mark Hewett

42 MINUTES AGO

Levelling down, smashing aspiration (it was meant to be the boats), disincentiving people to work, disincentiving employers to employ, destroying any prospect of growth, building a "forever" benefits culture and implementing policies of envy for the sake of it.

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M

MARCUS WILLIAMS

59 MINUTES AGO

The Labour Party have done absolutely everything possible to destroy normal demand and supply in the housing market, devastate the economy, ensure private schools, construction companies and small businesses go bankrupt, make business investment increasingly difficult and squander billions and bill...**See more**

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J

J Gorniok

32 MINUTES AGO

This Labour Government are economically illiterate. Mansion Tax, National Insurance, Tax on Farmers and Pubs and more. What about economic growth and job creation? Hello? Is there anybody in there? *(Edited)*

Mark Thompson

1 HOUR AGO

The threshold is £1m in Scotland. And based on past form, the threshold lad will probably ably remain unchanged for decades.

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